

FINLAND 2013

TABLE OF CONTENTS

1. Overview of the tax-benefit system	1
2. Unemployment insurance	2
3. Unemployment assistance	9
4. Social assistance	11
5. Housing benefits	14
6. Family benefits	18
7. Childcare for pre-school children	19
8. Employment-conditional benefits.....	23
9. Lone-parent benefits	23
10. Tax system	24
11. Part-time work.....	26
12. Policy developments	27
Appendix 1. Housing Allowances Deductibles.....	29
Appendix 2. Reasonable rent covered by social assistance in Helsinki, internal non-binding guidelines, 1997-2013.....	36

1. Overview of the tax-benefit system

There exists a three-tier system of unemployment benefits: a basic benefit, earnings related benefit and a means-tested benefit. The earnings related supplement is paid to insured people only; insurance is voluntary. Housing costs are covered through a separate income tested scheme. There is a social assistance scheme which guarantees a minimum income as deemed necessary for every inhabitant of the country. The tax unit is the individual.

1.1. Average worker wage (AW)

The 2013 AW earnings level is EUR 42493¹.

¹ AW refers to the Average Wage estimated by the Centre for Tax Policy and Administration (www.oecd.org/ctp). For more information on methodology see *Taxing Wages 2007-2008*, OECD, 2009, part 5, sections 2 and 3.

2. Unemployment insurance

The basic benefit and the earnings related benefit are for the purposes of this study classified as unemployment insurance. The follow-up benefit (Labour Market Subsidy) is classified as unemployment assistance. The basic benefit is funded by the state and employees (share of employees' unemployment insurance contribution paid employees that are not members of unemployment funds). The earnings related scheme is funded by the state, employers, employees and unemployment funds.

2.1 Conditions for receipt

Payable to any registered unemployed person, who is between 17 and 64 years old, who is available for and actively seeking full-time work. Persons receiving partial disability pension are entitled to unemployment benefits even if they are only seeking part-time work. Since 2005 also employees aged 65 to 67 are entitled to allowance during lay-offs (only employees, not for entrepreneurs).

Before 2009 Employment Committees that operated within the employment offices decided on a job applicant's right to an unemployment benefit in certain cases. Since 2009 Employment and Economic Development Offices (former employment offices) decide right to an unemployment benefit in all cases. If the unemployed person, without a justifiable reason, refuses to take on work, which is designated by the employment office and lasts for a maximum of 2 weeks, this results in a 30 day waiting period. If an unemployed person refuses to take on work lasting for more than 2 weeks or declines to enter training that is appropriate for him/her², or if the unemployed person is personally responsible for the fact that no employment agreement is made or if an unemployed person has been in the labour market for less than 6 weeks during the past 6 months without an acceptable reason, the result is a 60-day waiting period.

Unemployed persons bear the obligation of preparing for themselves, together with the employment authorities, a personal job-seeking plan. If the job applicant refuses to take part in preparing a job-seeking plan, he/she will incur a 30-day waiting period. If the person do not attend appointed meeting for drafting job-seeking plan this will result in a 15-day waiting period. After a job-seeking plan has been prepared, refusal to carry out the job-seeking plan also results in a 60-day waiting period.

If the unemployed person resigns from a job without an acceptable reason or is personally responsible for causing termination of the employment contract, this results in a 90-day waiting period. Repeated refusal to take on work or training and reluctance to work can cause a cessation of allowance payments. In such a case, an unemployment allowance is not granted until after three months of work or training.

2.1.1 Employment conditions

34 weeks of work (minimum of 18 hours per week) in the last 28 months. Wage must be according the collective bargaining agreement or if there is no such agreement for the sector, the salary for full-time employment must be at least 1134 euros a month (2013) Note: Current salary limit was introduced 2007 and it is adjusted annually by index (80 % wages and 20 % prices). Before 2007 the corresponding limit was 40 times basic daily allowance.

2.1.2 Contribution conditions

Earnings-related benefit: The employment condition has to be fulfilled while being insured as a member of an unemployment fund. Membership of unemployment fund is voluntary.

² Or has resigned or has been discharged from this kind of training

2.2 *Calculation of benefit amount*

2.2.1 *Calculation of gross benefit*

Basic benefit: EUR 32.46/day (5 days /week).

Earnings related benefit: Basic benefit; plus 45 per cent of daily reference earnings (DRE) in excess of the basic benefit until EUR 158.53; plus 20 per cent of DRE in excess of EUR 158.53 ($158.53 = 105 * \text{basic benefit} / 21.5$);).

In these calculations, the daily reference earnings are calculated as follows:

$M = \text{gross earnings in the reference year} / 12.5$ (monthly earnings are calculated here to exclude additional holiday pay included in the APW, hence the division by 12.5 instead of 12; note that in practice the 34 week period needed to fulfil the employment condition is usually used as reference period, excluding additional holiday pay).

$D = M / 21.5$ (21.5 working days /month)

$DRE = D * 96.11$ per cent (the deduction is 60 % of sum of employees' pension insurance contribution (under 53 years old), unemployment insurance contribution and earned income contribution for health insurance). This is done in order to avoid "over compensation" since these contributions are paid from wage and salary income but they are not paid on benefit income. Since 2010 deduction has been even formally connected to the level of social insurance contributions. Previously the deduction was set annually by separate decision of the Ministry of Social Affairs and Health

The earnings related benefit is calculated from the basic benefit excluding the child supplement. The child supplement is then added to earnings related benefit.

Child supplement is paid if recipient has children who are under 18 years old. If both parents are unemployed, both receive the basic/earnings related allowance and both receive the child supplement. Child supplement is paid even if parents are divorced and recipient does not live with children ("recipients biological children"). In addition to this supplement is payable if recipient is married or cohabiting and the spouse has children e.g. from previous marriage ("recipients non-biological children").

Child supplement (total)	Rate (in EUR per day*)
1 child	5.24
2 children	7.69
3 or more children	9.92

* Monthly/yearly equivalents are obtained using 21.5 days per month, 12 months per year.

Note that if both parents are unemployed, both receive the basic/earnings related allowance and both receive the child supplement.

The earnings-related allowance can be a maximum of 90 per cent of the daily wage, but at least equal to the basic allowance plus any child increases (applies also to previous years, no change in rules, only addition to text).

2.2.2 *Income and earnings disregards*

If an unemployed person begins to work part-time (including irregular work with reduced working time and full-time employment for a period not exceeding two weeks), the person is entitled to receive a so called adjusted unemployment benefit. The employee may also be entitled to adjusted unemployment benefit for some other reasons (e.g. if employer changes employment from full-time to part-time). The working hours may not exceed 80 per cent of the working hours of full-time work (change 1.1.2012). The unemployment benefit is reduced by 50 per cent of gross income. The maximum amount of combined adjusted benefit (including child supplement) and income from part-time work may not exceed 90 per cent of reference earnings (100 per cent for those receiving increased earnings related allowance or allowance including re-employment supplement, see 2.5 below). Since 2010 there is no maximum period for adjusted unemployment benefit (Previously/since 1.12.2003: Adjusted unemployment benefit can be paid for up to 36 months. Maximum provision is not applied to persons who are 59 years old or older before the 36 month maximum provision is reached (57 years if person has been born 1949 or before). However, due to transitional provisions 36 month maximum provision was not applied since 1994

Persons working shortened work week with correspondingly reduced wage (less than 80 % of regular working time): If working time has been reduced at least one full day the person is entitled for full unemployment benefit during lay-off days. The rule is not applied to persons working reduced hours each day even if the reduced working time is less than 80 % of regular working-time. The rule covers only workers and not unemployed people starting to work shortened work week. The rule was first applied as temporary to lay-off days between 4.1.2010 and 1.1.2012. Since 1.1.2012 the rule was introduced as permanent legislation.

2.3 *Tax treatment of benefit*

Taxable, but of social security contributions only the Health Insurance contribution (for medical care) is levied on the benefits.

2.4 *Benefit duration*

Paid for at most 500 days (5 days /week; 100 weeks) after a 7-day waiting period (see also 2.5.2). If there are several separate spells of unemployment during 500 days period only one 7-day waiting period will be applied. NOTE: Combined maximum period of unemployment allowance and training allowance for unemployed persons is 565 days if training has started before 2010 (only addition, applies also to previous years). Since 2010 the combined maximum period has been 500 days.

Since 1.1.2010 return condition has been same as employment condition 34 weeks during the 28-month period (gradual phase-in). Previously: since 1.1.2003 34 weeks (before 1.1.2003 43 weeks) of work during the 24-month period (minimum 18 hours a week) fulfils the employment condition for starting a new 500 days earnings-related period, so called “return condition”.

The reference earnings are based on the most recent earnings fulfilling the employment conditions. However, the new earnings related benefit level must be at least 80 per cent of the previous benefit level if the employment condition is fulfilled before the 500 days maximum period is exhausted.

2.5 *Treatment of particular groups*

2.5.1 *Young persons*

To get allowance, a person aged 17-24 must apply for vocational training unless he or she already graduated from a vocationally oriented educational institute.

2.5.2 Older workers or workers with long careers

Additional days rule

An unemployment allowance can also be paid after the 500-day maximum period for older workers ("additional days rule"). As a part of an extensive pension reform the unemployment pension scheme will be gradually abolished. Therefore also "additional days rule" has been changed as from 1 January 2003; accordingly, the rules differ to persons born prior to 1950 and those born after that date (reflecting the age limits of transitional provision of unemployment pension).

Persons born prior to 1950: The old rule is observed for a person who reaches the age of 57 before the 500-day maximum period has accrued. In addition to the 500 days, the person receives an allowance up to the end of the month during which he/she reaches the age of 60. Thereafter the person can apply for an unemployment pension (not covered here).

Persons born in 1950-1954: A person born between 1950 and 1954 can be paid an allowance up to the end of the month when he/she reaches the age of 65 if the person has reached the age of 59 before the 500 days have accrued. In addition, it is required that the person has been in employment with pension entitlement for at least five years during the past 20 years.

Persons born in 1955 or thereafter: A person born in 1955 or thereafter can be paid an allowance up to the end of the month when he/she reaches the age of 65 if the person has reached the age of 60 before the 500 days have accrued. In addition, it is required that the person has been in employment with pension entitlement for at least five years during the past 20 years. Since 1.1.2005 persons receiving allowance after 500 days (i.e. receiving additional days) are entitled to choose old age pension at the age of 62 (pension reduced due to early retirement, pensions schemes not covered here). Since 1.1.2013 the option to choose old age pension at the age of 62 was limited to person born prior to 1958. Those who have chosen old age pension are not entitled to unemployment benefits.

Before 2010 persons receiving unemployment benefit for additional days were entitled to somewhat higher replacement rate if

- if they the claimant had been a member of an unemployment fund for five years
- the claimant had been in employment with pension entitlement for at least 20 years

In these cases the replacement rate in upper income bracket was 32.5 per cent (normally 20 per cent, compare 2.2.1)

The increased rate for additional days was abolished 1.1.2010 (note that simultaneously other changes were introduced that increased benefit rate in upper income brackets recipients of "ordinary" allowance, see 2.2.1).

Increased earnings-related allowance

The earnings-related allowance may be paid as an increased allowance in the following situations:

Situation 1. The job seeker has been employed for a total of at least three years before the entitlement to unemployment allowance began. In this case the earnings-related allowance may be paid as an increased allowance for a maximum of 20 days at the start of unemployment. If a person making his or her first application for earnings-related allowance is entitled to the increased earnings-related component on the

basis of situation 3 (see below), the person will lose the right to the increased earnings-related component referred to in situation 1.

Situation 2. The person is taking part in a service promoting employment agreed with the Employment and Economic Development Office within the employment plan or comparable plan. The increased earnings-related allowance may be paid during participation in the service, however for no more than 200 days. If the person is taking part in two services with an interval of no more than seven calendar days, the increased earnings-related allowance may also be paid for the time between the services.

Situation 3. The employment relationship is terminated for economic or production-related reasons or the person terminates the employment relationship after being laid off for more than 200 consecutive days. The claimant has been employed for no less than 20 years before losing his or her job and has been a member of an unemployment fund for no less than five years. In this case the increased earnings-related allowance can be paid for a maximum of 100 days.

Amount of an increased earnings-related allowance

- The increased earnings-related allowance is 57.5 per cent (normally 45 per cent) of the difference between daily wages (DRE) and the basic allowance. If daily wages (DRE) exceeds upper income limit ($90 * \text{basic benefit} / 21.5$) the increased earnings-related allowance declines to 35 per cent (normally 20 per cent) for the part in excess. I.e. the difference in compensation formula are these two percentages (formula: see 2.2.1 above)
- The rule in determining a normal earnings-related unemployment allowance, which says that the earnings-related allowance can be a maximum of 90 per cent of daily wages, does not apply to an increased earnings-related allowance. The increased allowance can be a maximum of the full daily wage (DRE) but nevertheless equal to the increased basic allowance (see below) plus any child increases

The period of unemployment need not continue without interruption, but there may be periods of employment in between. If there are so many periods of employment that a new employment condition is fulfilled, the days entitling to an increased earnings-related allowance are paid from the unemployment allowance calculated on the basis of the new wage or salary income.

Recipients of basic allowance are entitled to increased allowance with similar conditions (excluding the unemployment fund membership). The increase is EUR 4.75 per day (5 days per week).

2.5.3 *Entrepreneurs*

Unemployment benefits are also payable to entrepreneurs fulfilling conditions for receipt (including conditions for discontinuation of business activity). As with employees entrepreneurs have to be members of unemployment funds in order to be entitled to earnings related benefit. There are separate unemployment funds for entrepreneurs. The earnings related scheme for entrepreneurs is funded by the state and insured (entrepreneurs). Specific details of this scheme are not covered here.

2.5.4 *Other groups*

Most services promoting employment also entitle the participant to additional compensation for expenses (before 2013 name was maintenance allowance), which is payable for training agreed with the Employment and Economic Development Office after 1 January 2010. The compensation for expenses is intended for compensating meal and travel expenses. NOTE: The maintenance allowance has been paid

since early 1990's. Since 1.1.2010 the coverage of maintenance allowance was extended to several services and studies that previously were not covered.

The compensation for expenses is EUR 9 per day (2004-2009: EUR 8 per day), and the increased compensation for expenses EUR 18 per day. Recipient is entitled to receive increased compensation for expenses if recipient is taking part in services promoting employment outside the travel-to-work area or if recipient has accommodation costs due to participation in a service organised within travel-to-work area. The compensation for expenses is non-taxable income.

The compensation for expenses (EUR 9) and increased compensation for expenses (EUR 18) may be paid for the duration of the following services promoting employment:

- labour market training for adults
- self-motivated study
- preparation for working life
- preparation for job seeking
- self-motivated study for immigrants
- try-out
- rehabilitative work.

Recipients of unemployment assistance benefits (chapter 3) are also entitled to compensation for expenses under similar conditions.

It is possible to receive compensation for expenses and increased allowance simultaneously.

Transition assistance

Since 1.7.2005 unemployed persons whose employment contract had been terminated for production-related or economic reasons and who fulfilled other qualifying conditions were entitled to re-employment programme supplement. The name (now transition assistance) and conditions of benefit were revised during 2009. This was part of government's responses to economic crisis.

Since 1.1.2010 the conditions for transition assistance have been:

The transition assistance may be payable if the job seeker has drawn up an employment plan or comparable plan at the Employment and Economic Development Office. The drafting of the plan needs to be requested in person at the Employment and Economic Development Office. The request must be made within 30 days of the termination of employment, the date you received notice of your lay-off or the date your period of being laid off reached the 180-day requirement.

The transition assistance is payable during participation in a service promoting employment recorded in the employment plan or comparable plan. Such services include labour market training for adults, self-motivated study, self-motivated study for immigrants, preparation for job seeking, preparation for working life, try-outs and rehabilitative work. If the person is taking part in two services with an interval of no more than seven calendar days, the earnings-related component for transition assistance may also be paid for the time between the services.

Requirements for eligibility for the earnings-related component for transition assistance:

- The job seeker has a valid employment plan or corresponding plan.

- The job seeker has been a member of an unemployment fund for at least 34 weeks, during which time he or she has satisfied the employment requirement under the Unemployment Security Act: 34 calendar weeks of employment during the past 28 months.
- Job seekers who do not qualify unemployment fund membership condition are entitled to transition assistance supplement for basic unemployment allowance (4.75€/day, 5 days per week).

Amount and duration of (earnings-related component for) transition assistance:

- The earnings-related component for transition assistance is 65 per cent of the difference between daily wages and the basic component. If the monthly salary is more than 105 times the amount of daily allowance, the earnings-related component for the exceeding sum is 37.5 per cent (compare 2.2.1).
- The rule in determining a normal earnings-related unemployment allowance, which says that the earnings-related allowance can be a maximum of 90 per cent of daily wages, does not apply to earnings-related transition assistance. The transition allowance can be a maximum of the full daily wage (DRE) but nevertheless equal to the basic allowance increased with transition allowance (see below) plus any child increases
- The transition assistance is payable for a maximum of 200 days.
The transition assistance will not be paid
 - if the applicant is receiving daily allowance for the additional days following the 500 days
 - is a full-time entrepreneur.

Recipients of basic allowance are entitled to transition allowance with similar conditions as recipients of earnings related allowance (excluding the unemployment fund membership). The increase is EUR 4.75 per day (5 days per week).

3. Unemployment assistance

Labour Market Subsidy (LMS) is aimed at promoting first time entrants and recipients' re-entry to the labour market.

3.1 Conditions for receipt

Payable to any registered unemployed person, who is between 17 and 64 years old, who is available for and actively seeking work. Since 2005 also persons aged 65 to 67 are entitled to allowance during lay-offs.

See 2.1. for conditions for unemployed job-seekers generally ("voluntary" job loss, refusal to take on work designated by the employment office etc.).

3.2 Calculation of benefit amount

3.2.1 Calculation of gross benefit

The maximum Labour Market Subsidy benefit is equal to the basic unemployment allowance (see Section 2.2.1; since 2002 the child supplements are the same as well).

3.2.2 Income and earnings disregards

The income test is suppressed:

- During the first 180 days for persons who have previously received the unemployment allowance for the maximum period allowed (500 days).
- For unemployment allowance recipients aged 55 or more, who at the time they became employed satisfied the employment condition (34 weeks of employment during preceding 28 (since 2003) months).
- During any period in which the recipient participates in measures supporting his/her integration into the labour market that have been arranged by an employment authority.

Until 31st of December 2012 the income-test was applied to the combined monthly gross income of the recipient and the partner. The partner's income was excluded until EUR 660 per month (2012). Since 1.1.2013 partner's income has been excluded totally. The disregarded amount equals EUR 1044 per month for a couples and lone-parents or EUR 311 per month for a single plus EUR 130 per month for each dependent child. The LMS benefit is reduced by 50 per cent of the gross income exceeding the disregard, e.g. child allowance, home care allowance, maintenance support and housing allowance are disregarded from the income test. For single person the LMS benefit is reduced by 75 per cent of the gross income exceeding the disregard.

Example of an unemployed person with spouse (earnings EUR 2 200/month after deducting for work related expenses) and two dependent children:

Spouse's income in income-test	Disregarded
Recipient's own e.g. capital income	EUR 100/month
Disregard	1 044 + 2*130 = EUR 1 304 /month
Income exceeding disregard	EUR 0 /month

Reduction of LMS

No reduction

Example of for a single person with additional income EUR 558 / month (e.g. capital income):

Disregard	EUR 311 /month
Income exceeding disregard	558 – 311 = EUR 247 /month
Reduction of LMS	75%* 247 = EUR 172.9 /month = EUR 172.9/21.5 per day = EUR 8.04 /day

If a recipient of LMS begins to work part-time (including irregular work with reduced working time), the LMS recipient is also entitled to the adjusted LMS. The rules are same as in earnings related unemployment benefit (see section 2.2.2). Note that both the income-test of adjusted benefit due to earnings from part-time work and the usual income-test above are carried out. First the amount of LMS after usual income-test is calculated as in the above examples. Then, the calculated amount of LMS is reduced by earnings from part-time work according to rules of adjusted LMS. Earnings from part-time work are not included in the income-test.

3.3 *Tax treatment of benefit*

Taxable, but of social security contributions only the Health Insurance contributions (for medical care) are levied on the benefits.

3.4 *Benefit duration*

Unlimited. There is a five-day waiting period for all recipients of benefits. First-time entrants to the labour market must complete a 5-month waiting period (unless they have recently graduated from a vocationally oriented educational institute).

3.5 *Treatment of particular groups*

The so called employment bonus is experimented in some municipalities during 2013-2015 (e.g. Helsinki). The long-term recipient of labour market subsidy will retain this benefit for one month while working.

3.5.1 *Young persons*

Partial labour market subsidy: For first time entrants to the labour market who live with their parents the labour market is reduced. Since 1.7.2003 the reduction depend on income of parents. If parental income exceeds EUR 1781 per month, the labour market subsidy payable is reduced by 50% of the excess. However, partial labour market subsidy is at least 50 per cent of the amount that recipient would have received without any reduction due to parents income (e.g. at least 50 per cent of the amount that recipient would have received after adjustment for own income from part-time work). The EUR 1781 disregard is increased by EUR 106 per month for each dependent child that parents have (aged 0-17).

To get allowance, a person aged 17-24 must apply for vocational training unless he or she already graduated from a vocationally oriented educational institute.

3.5.2 *Older workers*

Means-testing for previous unemployment allowance recipients aged 55 or more has been suppressed (see section 3.2.2.).

3.5.3 *Increased labour market subsidy and compensation for expenses*

The recipient is entitled supplement if recipient is taking part in a service promoting employment. The service must be agreed with the Employment and Economic Development Office within the employment plan or comparable plan and the recipient has not received labour market subsidy for more than 500 days before the start of the service (180 days if recipient has received unemployment insurance benefit for maximum of 500 days before this). The supplement/increase is EUR 4.75 per day (5 days per week).

Additional compensation for expenses during services promoting employment: see 2.5.4

4. **Social assistance**

Social assistance is a last-resort social benefit. Since 1.1.2008 there has been single nation-wide basic standard (basic amount, see below). Previously there were two municipality categories.

4.1 **Conditions for receipt**

It is paid by the local municipality on personal application conditional on passing a means test. The need for social assistance is judged each time case by case. For a person or a family that applies for social assistance a judgement and a calculation is made by local social welfare staff of their available income, assets and factual expenditure entitling to social assistance. Expenditure that gives entitlement to social assistance consists of a basic amount plus an additional amount to cover outgoings which are assessed separately. If this combined amount is higher than the family's available net income, the difference is paid in the form of social assistance. The basic amount is designed to cover the costs of food, clothes, hygiene, transport, information (newspaper, telephone, TV licence) and minor, everyday health care costs. If housing costs are considered as reasonable they are covered by additional allowance (7 per cent deductible was abolished 1.9.2006). I.e. reasonable housing costs are covered completely by additional allowance. Other expenditure items that are covered by additional allowance are home insurance, home electricity, (applies also to previous years, only clarification) children's day care fees and significant health care costs (pharmaceuticals, fees of health centres, doctors or dentists, cost of spectacles).

Since 2006 expenses entitling to additional allowance are divided to "other basic expenses" (not covered by basic amount) and to expenses entitling to "supplementary social assistance". The "other basic expenses" include housing costs, home insurance, home electricity and larger health care costs. Expenses entitling to "supplementary social assistance" relate to particular needs and situations of the applicant as stipulated by law.. This division is mainly for the shared funding of social assistance by the municipalities and the central government. The central government transfers to municipalities are 50 per cent of the expenditure on basic expenses of social assistance (i.e. basic amount + "other basic expenses"). "Supplementary social assistance" is covered partly by general central government transfers to municipalities for social and health care. These general transfers are calculatory and are not based on actual expenditure of individual municipality. In 2013 30,96% of the calculatory costs were covered by central government transfers to local government.

Usually all net income is included into the means test with specific exceptions stipulated in law (see 4.2.2). Taxes are deducted from the gross income. Available assets are also included into the means test. There is no asset threshold, but a small part of savings may be disregarded in order to enhance the self-sufficient living of families. Some assets are also excluded from the means test. These include housing if occupied by

recipients, furniture, tools for work or studies, etc. The possibility to realise property/assets should also be considered in the means test.

In most cases household receiving social assistance have other income sources during the reciprocity period and social assistance is often paid to top-up other benefits. In November 2011 only 9 per cent of households on social assistance had no other income. 42 cent had received labour market subsidy and 70 per cent had received housing allowance. A typical top-up case is a single long-term unemployed person receiving insufficient primary benefits like labour market subsidy (net of taxes), housing allowance and social assistance. Wage-earning and simultaneous receipt of SA is deemed marginal and relates to transitory situations.

4.2 *Calculation of benefit amount*

4.2.1 *Calculation of gross benefit*

Basic amounts:

Family size	Rate ((in EUR per month)	Per cent of single rate
Single	477.26	100
Lone parent	524.99	110
Couple (per person)	405.67	85
Allowance per child		
Child over 18*	348.40	73
Child 10-17	334.08	70
Child under 10	300.67	63

* Children aged 18 or over, living with their parents constitute their own household when social assistance is calculated (separate means test).

If there is more than one child (0 – 17) in families the rates will be reduced. The rate of the second child will be 5 percentage points lower (e.g. 70 → 65 per cent or 63 → 58 per cent of single rate) the rate of the third and subsequent child will be 10 percentage points lower (e.g. 70 → 60 or 63 → 53).

In addition to these basic amounts for “everyday living costs”, additional social assistance is granted to cover reasonable housing costs or other costs (such as health care, work-related expenses). See above.

The amount of social assistance may be reduced by maximal 20 per cent if person refuses to accept a work offer or do not participate in training or certain other activating measures. Maximal one-time length of reduction is 2 months. Since 1.1.2011 the social assistance may also be reduced if 18-24 year old person without vocational education refuses to participate in education or drops out from education. If refusal is recurrent social assistance may be reduced by maximal 40 per cent. If social assistance is reduced authorities must, if possible, in co-operation with the recipient, to devise a plan to enhance self-sufficient living of the recipient.

That part of the rent that is judged to exceed the upper limit for reasonable housing costs in social assistance is not covered. The municipalities can use their own discretion in setting the upper limit for reasonable housing costs in social assistance. Social assistance covers often higher housing costs than

housing allowances due to the last-resort nature of the benefit. In OECD calculations (non-binding) guidelines used by the city of Helsinki have been used (see appendix 2).³ Guidelines are only general and apply to rental housing and the needs of the family; in some cases even higher cost may be covered (for instance child welfare needs). Note that upper limits presented in the appendix 2 apply only to rent. Reasonable utility charges (e.g. water), household electricity and home insurance will be covered separately. The limits of reasonable housing costs covered by social assistance are generally considerably higher in Helsinki and in other municipalities of capital area than in other parts of Finland. Using guidelines of Helsinki will thus give significantly more generous picture of social assistance than using the guidelines of some other municipality (cf. assumptions of housing allowance below). Less than one in five (17 %) of all Finnish municipalities accept actual real housing costs as eligible for social assistance. If social assistance is needed for a lengthy period, the client is obliged to seek more economical accommodation.

To calculate the final social assistance benefit amount, the procedure is to compare the net income and available assets from all other sources (including regular housing benefits) to this level. If net income and available assets are below the social assistance level then the actual social assistance that is payable is the difference between the social assistance level and the net income and available assets.

Social assistance can be paid to supplement (top-up) other benefits and other income sources (e.g wage and salary). Most of the recipient households of social assistance have other income sources which social assistance “tops-up”. One typical top-up case is single long-term unemployed receiving labour market subsidy (net of taxes), housing allowance and social assistance

4.2.2 *Income and earnings disregards*

Social assistance: Since April 2005 is minimum 20 per cent of net earnings up to the maximum amount EUR 150 (/month /family) will be excluded from the income-testing. The law will be in force until 31 December 2014. Otherwise there are no disregards except for those stipulated by law (see below). All earnings from paid work and all social/family benefits included in this chapter reduce the maximum benefit. Municipalities may disregard some earnings if they are considered to promote the independence of the recipient.

Following cash benefits are disregarded from the income-testing:

- Disability allowance
- Child disability allowance
- Pensioner’s care allowance
- Maternity grant
- Since 1st of January 2013 the increased part of unemployment benefits paid during activation measures is excluded from the income-test of social assistance.

Compensation for expenses paid during the labour market training, rehabilitation or rehabilitating work experience.

³ There was a change in the methodology of the OECD calculations from 2008 onwards. Prior to 2008 all housing costs were covered in OECD calculations when social assistance was calculated. According to law municipalities have all the time (since 1982) used their own discretion how high housing costs are covered.

4.3 Tax treatment of benefit

Not taxable.

4.4 Benefit duration

As long as the means-test is satisfied.

4.5 Treatment of particular groups

4.5.1 Young persons

See section 4.2.1.

4.5.2 Older workers

None.

5. Housing benefits

There are three income-tested schemes:

- A general housing allowance available to families, couples and single people of limited means.
- A housing allowance for pensioners (not considered).
- An allowance scheme for students (not considered).

5.1 Conditions for receipt

Income-tested.

Eligibility for the housing allowance is reviewed once a year. Special eligibility reviews are conducted in the following events:

- the household's regular monthly income increases by €300 (€160 in 2002-2004) or decreases by €160 a month or more, or monthly housing costs change by €50 or more)
- the household moves
- the number of household members changes
- ownership of the dwelling changes
- a subtenant moves in or out
- a member of the household becomes eligible for the student's housing supplement or becomes ineligible for the general housing allowance
- a member of the household becomes eligible for the pensioners' housing allowance.
- The special review is conducted at the beginning of the month following a change in circumstances. The regular annual review will then be conducted one year after the special review.

Since 1.3.2006 the income test (income review) due to an increase in income has been suppressed for three months for re-employed persons who have been receiving labour market subsidy or basic unemployment allowance continuously for 12 months or more. The three months suppressed income review period was temporarily extended to six months (1.1.2013 - 31.12.2015)

5.2 Calculation of benefit amount

5.2.1 Calculation of gross benefit

The housing benefit is limited to certain income bands that vary with the number of persons in the household and with the geographical location. The general housing allowance is 80 per cent of the difference between the rent and a so-called “deductible amount”. The deductible amount is determined by the family type and the geographical location and increases with small steps as gross income increases (there are several income brackets for each family type and area). The incomes are rounded to the nearest full euro before the income test. The 2012 deductible amounts for Helsinki (I municipality group since 2002) and Espoo, Kauniainen and Vantaa (together II municipality group since 2002) are presented in appendix 1.

In housing allowance only full euros of income are finally taken into account in the income-test. E.g. if total household income from all income sources included in the income-test is € 1065.79 then only € 1065 is taken into account in income-test.

There are upper limits for the rents (housing costs) that are covered by the housing costs. In some areas these limits may in practice be below the market rate.

The calculation of maximum housing costs is rather complicated. There is a maximum area of the dwelling for each household size:

Persons	Maximum area, m²
1	37
2	57
3	77
4	90
5	105
6	115
7	125
8	135

Then there are limits for maximum housing costs per m². These limits depend on the municipality group, age and size of the dwelling and for some other criterion that are not important here. Below are the limits for the Helsinki (first municipality group since 2002).

Maximum housing costs per m2 in 2012, Helsinki (I municipality group)

Size of dwelling, m2	Age of dwelling		
	–1985	1986–95	1996 -
-25.9	14.02	14.85	15.35
26-30.9	13.18	14	14.51
31-35.9	12.34	13.16	13.67
36-45.9	11.57	12.68	13.18
46-60.9	11.1	12.37	12.88
61-80.9	10.86	11.94	12.44
81-	10.78	11.85	12.36

Example: the assumption concerning housing costs is that they are 20 per cent of the AW for all family types. For Finland 2012 this is equivalent of housing cost of EUR 708.22 per month ($= 20\% * 42493 / 12$). For a single person living in a 35m² dwelling in Helsinki, in a house which was built in 2000, the maximum amount is $35 * 13.67 = \text{EUR } 478.45$, which is clearly below EUR 708.22. Result: the costs above 478.45 are ignored when the housing allowance is calculated.

For the purpose of this study the table below is used to calculate the maximum housing cost:

Maximum housing cost per month

Number of persons in the household	Maximum housing cost
1	$35 * 13.67$
2	$55 * 12.88$
3	$75 * 12.44$
4	$85 * 12.36$
5	$100 * 12.36$
6	$110 * 12.36$

Smallest amount payable: If the allowance after income test is less than EUR 16.81 per month allowance is not paid (no change in rules just addition to the description, the limit has been same since early 1990's, FIM 100 before 2002).

5.2.2 *Income and earnings disregards*

There is a special EUR 90 per month disregard for lone parents with one child. If there are more than eight person in a household EUR 260 is deducted from the monthly gross income for each person above eight person (applies also to previous years, no change in rules, only addition to text). Earnings, unemployment benefits and home care allowance are taken into the income-test; child allowance and maintenance support are disregarded. 15 per cent of the assets above certain thresholds are considered as income. This amount is divided by 12 to get monthly income. The thresholds vary with family size.

5.3 *Tax treatment of benefit*

Not taxable.

5.4 *Treatment of particular groups*

Students and pensioners have special housing allowances.

5.5 *Eligibility review (addition; applies also to previous years)*

Eligibility for the housing allowance is reviewed once a year. Special eligibility reviews are conducted in the following events:

- the household's regular monthly income increases by €300 (€160 in 2002-2004) or decreases by €160 a month or more, or monthly housing costs change by €50 or more)
- the household moves
- the number of household members changes
- ownership of the dwelling changes
- a subtenant moves in or out
- a member of the household becomes eligible for the student's housing supplement or becomes ineligible for the general housing allowance
- a member of the household becomes eligible for the pensioners' housing allowance.
- The special review is conducted at the beginning of the month following a change in circumstances. The regular annual review will then be conducted one year after the special review.

Since 1.3.2006 the income test (income review) due to an increase in income has been suppressed for three months for re-employed persons who have been receiving labour market subsidy or basic unemployment allowance continuously for 12 months or more. Since 1st of January the period of suppressed means-test of housing allowance was extended from 3 to 6 months.

6. Family benefits

6.1 Conditions for receipt

Child Benefit is paid for children under 17 who are living in Finland. Its amount depends on the number of eligible children in the household. Single parents get a supplement for each child

6.2 Calculation of benefit amount

6.2.1 Calculation of gross benefit

Rates of child benefit since 1.1.2012	
	Rate per child (in EUR per month)
1st child	104.19
2nd child	115.13
3rd child	146.91
4th child	168.27
5th and subsequent	189.63

Since 1.3.2011 rates will be adjusted annually by index (100 % prices). This will be normally carried out 1st of January. The index adjustment of child benefit will be suppressed 2013-2015.

6.2.2 Income and earnings disregards

Universal, not means-tested.

6.3 Tax treatment of benefit

Not taxable.

6.4 Treatment of particular groups

6.4.1 Young persons

6.4.2 Older workers

6.4.3 Others if applicable

Lone parents: Additional allowance of EUR 48.55 per child per month.

7. Childcare for pre-school children

Parents can choose to place their child in a day-care centre run by the municipality, look after the child themselves with the help of the child home care allowance, or choose the private day care allowance and arrange for child care privately. The parents of all children under official school age (7 years) have the right to a place in day care for their child provided by their local authority. Day care is provided as part-time and full-time care. Also day care around the clock is arranged when needed. Day care can also be organized for children of school age but mostly school-aged children participate in after-school activities. Public day care may be organized through day care centres or as municipal family day care

Child care arrangements vary considerably according to the age of the child. In 2012 41 per cent of all 1-2 year old children were in day care. 74 per cent of all the 3-5 year old children were in day care. Majority of children in day care use municipal day care (92 per cent) (municipal day care centre or municipal family day care). Almost all six-year-old children take part in pre-school education. 71 per cent of the pre-school aged children also attend day care.

Day care fees cover only a small part of the total costs of municipal day care (about 14% in year 2012).

7.1 Out-of-pocket childcare fees paid by parents

The fees and income limits were adjusted according to indexation rules 1.8.2010. The public day care fees are income related; the higher the family income, the higher the fee. The fee is a portion (percentage value) of the family income exceeding the income limit until the maximum amount is reached. These limits and percentages depend on family size. In addition to parents children under 18 are included in the family definition.. The amounts and income limits were revised 1.8.2012 according to indexation rules. The next revision will take place 1.8.2014.

All the amounts in the following table are monthly: The grounds for public day care fees 1.8.2010 - 31.7.2014

<i>Family size, persons</i>	<i>Income limit, in EUR per month</i>	<i>Per cent of income exceeding the limit</i>
2	1278	11.5
3	1576	9.4
4	1871	7.9
5	1996	7.9
6	2121	7.9

If the family size is over six persons EUR 125 is added to income limit for each additional person.

If there are more than two children in the same family in the public day care, the fees of the third and subsequent children are 20 per cent of the fee for the first child. The maximum fee for the first (the youngest) child is EUR 264 /child /month. For the second child the maximum fee is EUR 238 /child /month. If the day care fee of a child amounts to less than EUR 24 it is not paid.

Example (with rates applicable 1.8.2010-31.7.2012): A couple with three children all in day care. Gross income EUR 6000 /month. Family type is 5 => $(6000 - 1996) * 7.9 \% = 316.32$. Fee for the first child : $\min(316.32, 264) = 264$ €/month. Fee for the second child: $\min(316.32, 238) = 238$ €/month. Fee for third child: $20\% * 264 = 52.80$ €/month

If the child is in the day care for five hours or less per day then the day care is classified as part-time care and fees should be adjusted accordingly. There are no strict rules for this, but 60 percent of the fee for the full-time care is the current estimate of the average adjustment. The fees for the third and subsequent child are calculated in relation to the full-time equivalent fee of the first child even if the first child only uses part-time care.

Income definition in the income-test of the day care: All income (gross) except certain benefits and grants. Of the benefits that are disregarded child allowance, home care allowance, housing allowance and social assistance are relevant here. If family pays maintenance payment to other household this is deducted from the income. Note that both maintenance support and received maintenance payment are included in income.

7.2 *Child-care benefits*

7.2.1 *Conditions for receipt*

For families with children under three years old who do not use public day care, there is a home care allowance, which includes a care allowance and a care supplement. In addition to the home care allowance, there is private day care allowance for those who use private day care for children under 7 years old.. Since 1.4.2007 it has been possible for family to receive private day care allowance and home care allowance simultaneously (i.e. private day care allowance for a child in private care and home care allowance for another child not using public day care or private day care).

7.2.2 *Calculation of benefit amount*

The home care allowance is EUR 336.67 per month for the first child under three years old, EUR 100.79 per month for other children under three years old and EUR 64.77 per month for children between three and six years old (i.e. under school age). Home care supplement is income-tested. The maximum amount is EUR 180.17 per month and it is payable for only one child. Since 1.3.2011 rates have been adjusted annually by index (100 % prices). This will be normally carried out 1st of January. The price indexation does not cover income limits.

When the family type is determined, only children entitled to day care are included with maximum of two children (i.e. children under school age after the parenthood period of parents irrespective of their actual use of day care). The home care supplement decreases as the income exceeding income limit increases. There is no similar income disregard for additional children as with day care fees. Otherwise the definition of income is similar with day care fees with same benefits disregarded.

The home care allowance supplement 2013

Family size (parents + children < 7, max 2)	Income limit (in EUR per month)	Reduction of care supplement, per cent of income exceeding income limit
2	1 160	11.5
3	1 430	9.4
4	1 700	7.9

Private day care allowance can be claimed by a family whose under-school-age child is looked after by a nanny hired by the family or by a private day care provider. The rates and rules of private day care allowance are somewhat different from home care allowance. The private day care allowance consists of a basic allowance and an income-tested supplement, which both are paid for each eligible child. The basic

allowance is EUR 171.40 /child /month and the supplement is at most EUR 144.14 /child /month. Note that unlike in home care allowance the supplement is paid for each child entitled to private day care allowance.

The income criteria and limits of supplement are the same as those that apply to home care allowance care supplement. If the child attends a part-time pre-school arranged by the municipality one year before starting school, or if the child starts school one year early (at age 6), or if the child is within the extended compulsory education system and in his/her first year of school, the private day care allowance is paid at a rate of €63.06 per child/month, and the amount of the care supplement is halved from its normal rate.

The private day care allowance is paid directly to service provider and is also taxed as the income of the service provider. The allowance is not paid if a relative or some other individual looks after the child without a formal employment contract or charges no fee for his/her services. However, if the child is under three years old, the parents can apply for child home care allowance. Since 1.3.2011 rates have been adjusted annually by index (100 % prices). This will be normally carried out 1st of January.

Some municipalities, especially in the metropolitan area, pay additional supplements to home care and private day care allowances. The rates and eligibility rules vary.

The rates of municipal Helsinki supplement for home care allowance in 2013 (since 1.3.2011):

- 264.00 €/month if there is a child under 1½ years old in family
- 218.64 €/month under 2 years old
- 134.55 €/month 2 years old (but under 3 years).

The municipal Helsinki supplement for home care allowance is paid for the family, i.e. only for the youngest child.

The rates of municipal Helsinki supplement for private day care allowance in 2013

		€/mont
IPDC	under 3 years old	490
IPDC	3 years old or older	320
PFDC	under 3 years old	290
PFDC	3 years old or older	150
CMLC	under 3 years old	490
CMLC	3 years old or older	150

IPDC = Institutional private day care

PFDC = Private family day care

CMLC = Day care by childminder with labor contract

The private day care Helsinki supplement is paid for each child. The supplement is paid only for full-time care (25 hours or more per week). There is additional supplement of 60 €/family for those families who receive income-tested private day care allowance supplement.

7.2.3 *Income and earnings disregards*

In home care allowance and private day care allowance there are no similar income disregards for additional children as with day care fees. Otherwise the definition of income is similar with day care fees with same benefits disregarded.

7.3 *Tax treatment of benefit and interaction with other benefits*

Child home-care allowance is taxable income. The private day care allowance is taxed as the income of the provider of the day care services. If the recipient of home care allowance is not personally taking care of the child and the spouse receives unemployment benefit the home care allowance is deducted from the unemployment benefit. If the recipient of home care allowance is personally taking care of the child the allowance is not deducted from the spouses unemployment benefit.

7.4 *Benefit duration*

As long as the conditions are satisfied.

7.5 *Treatment of particular groups*

See 11 for partial care allowance.

The care of a disabled or chronically ill child can involve additional expense and often requires families to make special arrangements. To support care at home, eligible children who are aged 16 or less and live in Finland are entitled to child disability allowance. The allowance is paid without regard to the parents' or the child's income or assets. It is free from tax and payable at three rates depending on the need of care and rehabilitation and the economic burden related to this. In 2012 the rates were EUR89.18, 208.09 and 403.50 month.

Special care allowance is payable to parents who take part in treatment or rehabilitation arranged for their child. Special care allowance is generally payable only for maximum of 60 days for per child in a calendar year.

8. Employment-conditional benefits

Low income earners in Finland are eligible for an earned income allowance. See section 10.1.2.

9. Lone-parent benefits

Lone parents receive an additional supplement to child benefit (see section 6). Also a child of lone-parent receives maintenance allowance when the person liable to pay maintenance payment neglects this duty. A child is entitled to maintenance allowance even when the paternity has not been confirmed. The maintenance support is EUR 151.85 /child /month in 2013. Since 1999 the rate has been the same also for remarried providers. There is no means-test. The maintenance support is not taxable. Since 1.1.2012 the basic amount of social assistance for lone-parents has been 10 per cent higher than for single persons. See 4.2.1.2

10. Tax system

It consists of a central government tax, a local government tax and social security contributions.

10.1 Personal Income Tax Systems

10.1.1. Central government income taxes

Tax unit

Spouses are taxed separately for earned income.

Standard tax allowances

Standard tax allowances.

- Work-related expenses: a standard deduction for work-related expenses equal to the amount of wage or salary, with a maximum amount of EUR 620 is granted.

Rate schedule

Central government income tax.

Taxable income (EUR)	Tax on lower limit (EUR)	Tax on excess income in bracket (%)
16 100 – 23 900	8	6.5
23 900 – 39 100	515	17.5
39 100 – 70 300	3 175	21.5
70 300 – 100 000	9 883	29.75
100 000 and above	18 718.75	31.75

Tax credit

An earned income tax credit is granted against the central government income tax. If the credit exceeds the amount of central government income tax, the excess credit is deductible from the municipal income tax and the health insurance contribution for medical care. The credit is calculated on the basis of taxpayers' income from work. The credit amounts to 7.3 per cent of income exceeding EUR 2 500, until it reaches its maximum of EUR 970. The amount of the credit is reduced by 1.1 per cent of the earned income (earned income = non-capital income including also pensions, daily allowances) minus work related expenses exceeding EUR 33 000. The credit is fully phased out when taxpayers' income is about EUR 120 000.

Broadcasting Tax

In January 2013 a new public broadcasting tax was introduced to finance the activity of the national public service broadcasting company. The tax is 0.68 per cent on taxable earned income, taxes of minimum EUR 50 and maximum EUR 140 will be collected.

10.1.2. *Local income tax*

Tax base and tax rates

The tax base of the local income tax is taxable income as established for the income tax levied by central government.

Municipal tax is levied at flat rates. In 2013 the tax rate varies between 16.25 and 22.00 per cent, the average rate being approximately 19.38 per cent.

Municipal tax is not deductible against central government taxes. Work-related expenses and other non-standard deductions are deductible, as for purposes of the central government income tax.

Allowances in municipal income taxation

- An earned income allowance is calculated on the basis of taxpayer's income from work (income from work= wages and salaries and non-capital entrepreneurial income). The allowance amounts to 51 per cent of income between EUR 2 500 and EUR 7 230, and 28 per cent of the income exceeding EUR 7 230, until it reaches its maximum of EUR 3 570. The amount of the allowance is reduced by 4.5 per cent on earned income minus work related expenses exceeding EUR 14 000 (earned income = non-capital income including also pensions, daily allowances).
- A basic allowance is granted on the basis of taxable income remaining after the other allowances have been subtracted. The maximum amount, EUR 2 880, is reduced by 20 per cent on income exceeding the aforementioned amount.

10.2. *Compulsory Social Security Contributions to Schemes Operated within the Government Sector*

10.2.1. *Employees' contributions*

Rate and ceiling

The financing of the National Health Insurance underwent a major change on 1 January 2006 with the splitting up of the scheme into two components: earned income insurance and medical care insurance.

The contribution base of the earned income contribution for health insurance (for daily allowance) is gross earnings. In 2013 the rate is 0.72 per cent of gross wage (different rules for entrepreneurial income). This contribution is deductible in taxation (cf. employees' pension insurance and unemployment insurance contributions below).

The tax base for the health insurance contribution for medical care insurance is net taxable income for municipal income tax purposes. In 2013, the rate of the health insurance contribution for medical care insurance is 1.3 per cent. There is additional 0.17 per cent contribution for those incomes that earned income contribution for health insurance is not payable (e.g. pensions, daily allowances). The income base for additional contribution is the difference between taxable income for municipal income tax purposes and earnings for earned income contribution for health insurance (i.e. gross wage here). If earnings for earned income contribution for health insurance are higher than taxable income for municipal income tax purposes then there is no additional contribution.

There are also an employees' pension insurance contribution and an employees' unemployment insurance contribution. Employees' pension insurance contribution which amounts to 5.15 per cent of gross salary

Reference date for all information is **July 1st 2013**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

for those who are under 53 years old (- 52) and 6.5 per cent for those who are 53 years old or more (53+). Employees' unemployment insurance contribution equals to 0.6 per cent of gross salary. These contributions are deductible for income tax purposes.

10.2.1. Employers' contributions

The average rate of the employers' social security contribution in 2013 is 22.8 per cent of gross wage.

11. Part-time work

11.1 *Special benefit rules for part-time work*

See section 2.2.2 (adjusted unemployment benefit).

Children younger than 3 give entitlement to partial care allowance if the parent is working less than 30 hours per week while looking after their child. The allowance amounts to EUR 96.41 per month (2012). The partial allowance is taxable income. Since 1.8.2004 also parents of first- and second-graders (usually 7-8 years old) are entitled to partial Care Allowance.

It is not possible to receive partial care allowance simultaneously with home care allowance. It is possible to use public day care or receive private day care allowance simultaneously with partial care allowance.

11.2 *Special tax and social security contribution rules for part-time work*

None.

12. Policy developments

12.1 Policy changes introduced: 2nd July 2012 – 1st July 2013

The income-test of labour market support against spouse's income was abolished as of 1st of January 2013

There was additional 0.7 percent index adjustment of some minimum benefits linked to the changes in price level. The aim of this additional adjustment was to compensate the one percent point increase in VAT. Additional adjustment was temporary (i.e. next year's adjustment will be correspondingly smaller).

Both reforms were introduced 1st of January 2013.

The increased part of unemployment benefits paid during activation measures is excluded from the income-test of social assistance (1st of January 2013).

The so called employment bonus is experimented in some municipalities during 2013-2015. The long-term recipient of labour market subsidy will retain this benefit for one month while working.

The period of suppressed means-test of housing allowance for re-employed long-term recipients of labour market subsidy was extended from 3 to 6 months (1st of January 2013).

The index adjustment of child benefit will be suppressed 2013-2015.

Law-drafting, administration and steering concerning early childhood education and care services was transferred from the Ministry of Social Affairs and Health to the Ministry of Education and Culture. This change took place from 1st January 2013. The administration of home care allowance and private care allowance remain at the Ministry of Social Affairs and Health.

For tax/calender year 2013: New income bracket with higher tax rate for annual incomes over 100 000 EUR (so called "solidarity tax"). and increased tax for annual pension incomes exceeding 45 000 EUR were introduced. There were small increases in basic deduction in municipal taxation and in earned income tax credit in central government taxation. Deductibility of interest paid on housing loans was reduced. There were no index adjustments for income limits of tax brackets of central government taxation (NOTE: there is no index-linkage for income limits of tax brackets in tax legislation but usually some kind of adjustments have been carried out).

12.2 Future policy changes announced since 1st July 2013

Unemployment benefits will be revised and simplified from the 1st of January 2014. The number of increased levels of earning-related benefits will be reduced. The maximum duration of earnings-related unemployment benefit will be reduced for those with short employment histories. Employment condition will be reduced to 26 weeks (currently 34 weeks). The age limit for the additional days (see 2.5.2) will be raised. Disregard of EUR 300/month will be introduced to income-test of adjusted benefit. The maximum amount of combined earnings-related adjusted benefit (including child supplement) and income from part-time work will be increased to 100 per cent of reference earnings.

According to government programme the general housing allowance will be revised and improved. The linear coordination of income and a total rent model will be adopted for housing allowance (will be introduced in 2015). There will be some additional improvements in housing allowance with the adaptation

Reference date for all information is **July 1st 2013**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

of total rent model. Simultaneously new earnings disregard for wage and salary and entrepreneurial income will be introduced

New flexible care allowance will be introduced as 1st of January 2014. The allowance is payable for parents who work reduced hours and have children under three years old. The flexible care allowance will replace partial care allowance for parents with children under three years old. Partial care allowance will remain unchanged for parents of first- and second-graders. The aim of the reform is to increase combination of part-time work and part-time benefit instead of full withdrawal from paid employment.

Appendix 1. Housing Allowances Deductibles

The 2013 deductible amounts of housing allowance for Helsinki (I municipality group) and Espoo, Kauniainen and Vantaa (together II municipality group)

Upper limit of the income bracket, EUR/month	Household size							
	1	2	3	4	5	6	7	8+
700	0	0	0	0	0	0	0	0
715	13	0	0	0	0	0	0	0
730	21	0	0	0	0	0	0	0
745	29	0	0	0	0	0	0	0
760	37	0	0	0	0	0	0	0
775	45	13	0	0	0	0	0	0
790	53	21	0	0	0	0	0	0
805	58	29	0	0	0	0	0	0
820	64	35	0	0	0	0	0	0
835	69	40	0	0	0	0	0	0
850	75	45	0	0	0	0	0	0
865	81	51	0	0	0	0	0	0
880	86	56	0	0	0	0	0	0
895	92	61	0	0	0	0	0	0
910	98	67	0	0	0	0	0	0
925	104	72	13	0	0	0	0	0
940	109	77	23	0	0	0	0	0
955	115	83	33	0	0	0	0	0
970	121	88	38	0	0	0	0	0
985	126	94	42	0	0	0	0	0
1000	132	99	47	0	0	0	0	0
1015	138	104	52	0	0	0	0	0
1030	144	110	56	0	0	0	0	0
1045	149	115	61	13	0	0	0	0
1060	155	120	66	22	0	0	0	0
1075	161	126	70	27	0	0	0	0
1090	167	131	75	31	0	0	0	0
1105	172	137	80	36	0	0	0	0
1120	178	142	84	40	0	0	0	0
1135	184	148	89	45	0	0	0	0
1150	189	153	94	50	0	0	0	0
1165	195	159	98	54	0	0	0	0
1180	201	164	103	59	0	0	0	0
1195	207	170	108	63	0	0	0	0
1210	212	176	113	68	0	0	0	0
1225	218	181	117	72	0	0	0	0
1240	224	187	122	77	0	0	0	0
1255	229	193	127	81	13	0	0	0

Reference date for all information is **July 1st 2013**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

1270	235	198	131	86	22	0	0	0
1285	241	204	136	91	26	0	0	0
1300	247	210	141	95	30	0	0	0
1315	252	216	145	100	35	0	0	0
1330	258	221	150	104	39	0	0	0
1345	264	227	155	109	43	0	0	0
1360	269	233	159	113	48	0	0	0
1375	275	239	164	118	52	0	0	0
1390	281	244	169	122	56	0	0	0
1405	287	250	174	127	61	0	0	0
1420	292	256	179	132	65	0	0	0
1435	298	262	184	136	69	0	0	0
1450	304	268	189	141	74	0	0	0
1465	310	273	194	145	78	13	0	0
1480	316	279	200	150	82	24	0	0
1495	322	285	205	154	87	28	0	0
1510	328	291	210	160	91	32	0	0
1525	334	297	215	165	95	36	0	0
1540	340	303	220	170	100	41	0	0
1555	346	309	225	176	104	45	0	0
1570	352	315	231	181	108	49	0	0
1585	358	321	236	186	113	53	0	0
1600	364	327	242	192	117	57	0	0
1615	370	333	248	197	121	61	0	0
1630	376	338	253	202	126	66	0	0
1645	382	345	259	208	130	70	0	0
1660	388	352	265	213	134	74	0	0
1675	394	358	270	219	139	78	13	0
1690	400	365	276	224	143	82	21	0
1705	406	372	282	230	147	86	30	0
1720	412	378	288	235	152	91	34	0
1735	418	385	294	241	156	95	38	0
1750	424	392	299	246	161	99	42	0
1765	430	399	305	252	166	103	46	0
1780	436	406	311	257	171	107	50	0
1795	442	413	317	263	175	111	54	0
1810	448	419	323	269	180	116	58	13
1825	454	426	329	274	185	120	62	21
1840	460	433	335	280	190	124	66	25
1855	466	440	341	286	195	128	70	29
1870	No HA	447	347	292	200	132	74	33
1885	No HA	454	353	298	205	136	78	37
1900	No HA	461	359	304	210	140	82	41
1915	No HA	468	365	311	216	145	86	45
1930	No HA	475	371	317	221	149	90	48
1945	No HA	482	377	323	226	153	94	53
1960	No HA	489	383	330	231	157	98	57
1975	No HA	496	390	336	236	161	102	61
1990	No HA	503	396	343	241	165	106	65

Reference date for all information is **July 1st 2013**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

2005	No HA	510	402	349	246	170	110	69
2020	No HA	517	408	356	252	174	114	73
2035	No HA	524	414	362	257	178	118	77
2050	No HA	531	421	369	263	183	122	80
2065	No HA	538	427	376	269	188	126	84
2080	No HA	545	433	382	275	193	130	88
2095	No HA	552	440	389	280	198	134	92
2110	No HA	559	446	396	286	202	138	96
2125	No HA	566	452	403	292	207	142	100
2140	No HA	573	459	410	298	212	146	104
2155	No HA	580	465	416	303	217	150	108
2170	No HA	587	472	423	309	222	154	112
2185	No HA	594	478	430	315	227	158	116
2200	No HA	601	485	437	321	232	162	119
2215	No HA	608	491	444	327	237	166	124
2230	No HA	615	498	451	333	242	170	128
2245	No HA	622	504	458	339	247	174	132
2260	No HA	629	511	465	345	252	178	136
2275	No HA	636	517	472	351	257	182	140
2290	No HA	643	524	479	357	262	186	143
2305	No HA	650	531	487	363	268	191	147
2320	No HA	657	537	494	369	274	195	151
2335	No HA	664	544	501	375	279	199	154
2350	No HA	671	551	508	382	285	204	159
2365	No HA	678	558	516	388	291	208	163
2380	No HA	685	564	523	394	297	213	167
2395	No HA	692	571	530	400	303	217	171
2410	No HA	699	578	538	407	308	222	175
2425	No HA	706	585	545	413	314	226	179
2440	No HA	713	592	553	419	320	230	183
2455	No HA	No HA	599	560	425	326	235	187
2470	No HA	No HA	605	568	432	332	239	191
2485	No HA	No HA	612	575	438	338	244	194
2500	No HA	No HA	619	583	445	344	249	198
2515	No HA	No HA	626	590	451	350	253	203
2530	No HA	No HA	633	598	457	356	259	207
2545	No HA	No HA	640	606	464	362	264	212
2560	No HA	No HA	647	613	470	369	270	217
2575	No HA	No HA	654	621	477	375	276	221
2590	No HA	No HA	661	629	483	381	282	226
2605	No HA	No HA	668	637	490	387	287	230
2620	No HA	No HA	675	644	497	393	293	234
2635	No HA	No HA	682	652	503	400	299	239
2650	No HA	No HA	689	660	510	406	305	244
2665	No HA	No HA	696	668	517	412	311	249
2680	No HA	No HA	703	676	523	418	317	254
2695	No HA	No HA	710	684	530	425	323	258
2710	No HA	No HA	717	692	537	431	329	263
2725	No HA	No HA	724	700	543	438	335	268

Reference date for all information is **July 1st 2013**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

2740	No HA	No HA	731	708	550	444	341	273
2755	No HA	No HA	738	716	557	451	347	276
2770	No HA	No HA	745	724	564	457	353	282
2785	No HA	No HA	752	732	571	464	359	288
2800	No HA	No HA	759	740	578	470	365	294
2815	No HA	No HA	766	748	585	477	372	300
2830	No HA	No HA	773	756	591	483	378	306
2845	No HA	No HA	780	764	598	490	384	312
2860	No HA	No HA	787	772	605	496	390	318
2875	No HA	No HA	794	780	612	503	397	324
2890	No HA	No HA	801	788	619	510	403	328
2905	No HA	No HA	808	796	626	517	409	335
2920	No HA	No HA	815	804	634	523	416	342
2935	No HA	No HA	822	812	641	530	422	348
2950	No HA	No HA	829	820	648	537	429	354
2965	No HA	No HA	836	828	655	544	435	360
2980	No HA	No HA	843	836	662	551	442	366
2995	No HA	No HA	850	844	669	557	448	372
3010	No HA	No HA	857	852	676	564	455	379
3025	No HA	No HA	864	860	684	571	461	385
3040	No HA	No HA	871	868	691	578	468	390
3055	No HA	No HA	878	876	698	585	474	397
3070	No HA	No HA	885	884	706	592	481	404
3085	No HA	No HA	892	892	713	599	488	410
3100	No HA	No HA	899	900	720	606	495	416
3115	No HA	No HA	906	908	728	613	501	423
3130	No HA	No HA	913	916	735	621	508	429
3145	No HA	No HA	920	924	743	628	515	435
3160	No HA	No HA	927	932	750	635	522	442
3175	No HA	No HA	934	940	758	642	529	447
3190	No HA	No HA	No HA	948	765	649	535	454
3205	No HA	No HA	No HA	956	773	656	542	462
3220	No HA	No HA	No HA	964	780	664	549	468
3235	No HA	No HA	No HA	972	788	671	556	475
3250	No HA	No HA	No HA	980	795	678	563	481
3265	No HA	No HA	No HA	988	803	686	570	488
3280	No HA	No HA	No HA	996	811	693	577	495
3295	No HA	No HA	No HA	1004	818	700	584	501
3310	No HA	No HA	No HA	1012	826	708	592	507
3325	No HA	No HA	No HA	1020	834	715	599	514
3340	No HA	No HA	No HA	1028	842	723	606	522
3355	No HA	No HA	No HA	1036	850	730	613	528
3370	No HA	No HA	No HA	1044	858	738	620	535
3385	No HA	No HA	No HA	1052	866	745	627	542
3400	No HA	No HA	No HA	1060	874	753	635	549
3415	No HA	No HA	No HA	1068	882	760	642	556
3430	No HA	No HA	No HA	1076	890	768	649	563
3445	No HA	No HA	No HA	1084	898	776	657	568
3460	No HA	No HA	No HA	No HA	906	783	664	576

Reference date for all information is **July 1st 2013**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

3475	No HA	No HA	No HA	No HA	914	791	672	584
3490	No HA	No HA	No HA	No HA	922	799	679	591
3505	No HA	No HA	No HA	No HA	930	807	686	598
3520	No HA	No HA	No HA	No HA	938	814	694	605
3535	No HA	No HA	No HA	No HA	946	822	701	612
3550	No HA	No HA	No HA	No HA	954	830	709	619
3565	No HA	No HA	No HA	No HA	962	838	717	627
3580	No HA	No HA	No HA	No HA	970	846	724	634
3595	No HA	No HA	No HA	No HA	978	854	732	640
3610	No HA	No HA	No HA	No HA	986	862	739	648
3625	No HA	No HA	No HA	No HA	994	870	747	656
3640	No HA	No HA	No HA	No HA	1002	878	755	663
3655	No HA	No HA	No HA	No HA	1010	886	763	670
3670	No HA	No HA	No HA	No HA	1018	894	770	678
3685	No HA	No HA	No HA	No HA	1026	902	778	685
3700	No HA	No HA	No HA	No HA	1034	910	786	693
3715	No HA	No HA	No HA	No HA	1042	918	794	700
3730	No HA	No HA	No HA	No HA	1050	926	802	706
3745	No HA	No HA	No HA	No HA	1058	934	810	715
3760	No HA	No HA	No HA	No HA	1066	942	818	723
3775	No HA	No HA	No HA	No HA	1074	950	826	730
3790	No HA	No HA	No HA	No HA	1082	958	834	738
3805	No HA	No HA	No HA	No HA	1090	966	842	745
3820	No HA	No HA	No HA	No HA	1098	974	850	753
3835	No HA	No HA	No HA	No HA	1106	982	858	761
3850	No HA	No HA	No HA	No HA	1114	990	866	768
3865	No HA	No HA	No HA	No HA	1122	998	874	774
3880	No HA	No HA	No HA	No HA	1130	1006	882	783
3895	No HA	No HA	No HA	No HA	1138	1014	890	792
3910	No HA	No HA	No HA	No HA	1146	1022	899	799
3925	No HA	No HA	No HA	No HA	1154	1030	907	807
3940	No HA	No HA	No HA	No HA	1162	1038	915	815
3955	No HA	No HA	No HA	No HA	1170	1046	923	823
3970	No HA	No HA	No HA	No HA	1178	1054	932	831
3985	No HA	No HA	No HA	No HA	1186	1062	940	839
4000	No HA	No HA	No HA	No HA	1194	1070	948	845
4015	No HA	No HA	No HA	No HA	1202	1078	957	854
4030	No HA	No HA	No HA	No HA	1210	1086	965	863
4045	No HA	No HA	No HA	No HA	1218	1094	974	871
4060	No HA	No HA	No HA	No HA	1226	1102	982	879
4075	No HA	No HA	No HA	No HA	1234	1110	990	887
4090	No HA	No HA	No HA	No HA	1242	1118	998	895
4105	No HA	No HA	No HA	No HA	1250	1126	1006	903
4120	No HA	No HA	No HA	No HA	1258	1134	1014	912
4135	No HA	No HA	No HA	No HA	1266	1142	1022	920
4150	No HA	No HA	No HA	No HA	1274	1150	1030	927
4165	No HA	No HA	No HA	No HA	No HA	1158	1038	936
4180	No HA	No HA	No HA	No HA	No HA	1166	1046	945
4195	No HA	No HA	No HA	No HA	No HA	1174	1054	953

Reference date for all information is **July 1st 2013**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

4210	No HA	No HA	No HA	No HA	No HA	1182	1062	961
4225	No HA	No HA	No HA	No HA	No HA	1190	1070	970
4240	No HA	No HA	No HA	No HA	No HA	1198	1078	978
4255	No HA	No HA	No HA	No HA	No HA	1206	1086	986
4270	No HA	No HA	No HA	No HA	No HA	1214	1094	995
4285	No HA	No HA	No HA	No HA	No HA	1222	1102	1003
4300	No HA	No HA	No HA	No HA	No HA	1230	1110	1012
4315	No HA	No HA	No HA	No HA	No HA	1238	1118	1020
4330	No HA	No HA	No HA	No HA	No HA	1246	1126	1029
4345	No HA	No HA	No HA	No HA	No HA	1254	1134	1038
4360	No HA	No HA	No HA	No HA	No HA	1262	1142	1046
4375	No HA	No HA	No HA	No HA	No HA	1270	1150	1055
4390	No HA	No HA	No HA	No HA	No HA	1278	1158	1064
4405	No HA	No HA	No HA	No HA	No HA	1286	1166	1073
4420	No HA	No HA	No HA	No HA	No HA	1294	1174	1082
4435	No HA	No HA	No HA	No HA	No HA	1302	1182	1091
4450	No HA	No HA	No HA	No HA	No HA	1310	1190	1100
4465	No HA	No HA	No HA	No HA	No HA	1318	1198	1109
4480	No HA	No HA	No HA	No HA	No HA	1326	1206	1118
4495	No HA	No HA	No HA	No HA	No HA	1334	1214	1127
4510	No HA	No HA	No HA	No HA	No HA	1342	1222	1136
4525	No HA	No HA	No HA	No HA	No HA	1350	1230	1145
4540	No HA	No HA	No HA	No HA	No HA	1358	1238	1154
4555	No HA	No HA	No HA	No HA	No HA	1366	1246	1163
4570	No HA	No HA	No HA	No HA	No HA	1374	1254	1172
4585	No HA	No HA	No HA	No HA	No HA	1382	1262	1181
4600	No HA	No HA	No HA	No HA	No HA	1390	1270	1190
4615	No HA	No HA	No HA	No HA	No HA	1398	1278	1199
4630	No HA	No HA	No HA	No HA	No HA	No HA	1286	1208
4645	No HA	No HA	No HA	No HA	No HA	No HA	1294	1217
4660	No HA	No HA	No HA	No HA	No HA	No HA	1302	1226
4675	No HA	No HA	No HA	No HA	No HA	No HA	1310	1235
4690	No HA	No HA	No HA	No HA	No HA	No HA	1318	1244
4705	No HA	No HA	No HA	No HA	No HA	No HA	1326	1253
4720	No HA	No HA	No HA	No HA	No HA	No HA	1334	1262
4735	No HA	No HA	No HA	No HA	No HA	No HA	1342	1271
4750	No HA	No HA	No HA	No HA	No HA	No HA	1350	1280
4765	No HA	No HA	No HA	No HA	No HA	No HA	1358	1289
4780	No HA	No HA	No HA	No HA	No HA	No HA	1366	1298
4795	No HA	No HA	No HA	No HA	No HA	No HA	1374	1307
4810	No HA	No HA	No HA	No HA	No HA	No HA	1382	1316
4825	No HA	No HA	No HA	No HA	No HA	No HA	1390	1325
4840	No HA	No HA	No HA	No HA	No HA	No HA	1398	1334
4855	No HA	No HA	No HA	No HA	No HA	No HA	1406	1343
4870	No HA	No HA	No HA	No HA	No HA	No HA	1414	1352
4885	No HA	No HA	No HA	No HA	No HA	No HA	1422	1361
4900	No HA	No HA	No HA	No HA	No HA	No HA	1430	1370
4915	No HA	No HA	No HA	No HA	No HA	No HA	1438	1379
4930	No HA	No HA	No HA	No HA	No HA	No HA	1446	1388

Reference date for all information is **July 1st 2013**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

4945	No HA	No HA	No HA	No HA	No HA	No HA	1454	1397
4960	No HA	No HA	No HA	No HA	No HA	No HA	1462	1406
4975	No HA	No HA	No HA	No HA	No HA	No HA	1470	1415
4990	No HA	No HA	No HA	No HA	No HA	No HA	1478	1424
5005	No HA	No HA	No HA	No HA	No HA	No HA	1486	1433
5020	No HA	No HA	No HA	No HA	No HA	No HA	1494	1442
5035	No HA	No HA	No HA	No HA	No HA	No HA	1502	1451
5050	No HA	No HA	No HA	No HA	No HA	No HA	1510	1460
5065	No HA	No HA	No HA	No HA	No HA	No HA	1518	1469
5080	No HA	No HA	No HA	No HA	No HA	No HA	No HA	1478
5095	No HA	No HA	No HA	No HA	No HA	No HA	No HA	1487
5110	No HA	No HA	No HA	No HA	No HA	No HA	No HA	1496
5125	No HA	No HA	No HA	No HA	No HA	No HA	No HA	1505
5140	No HA	No HA	No HA	No HA	No HA	No HA	No HA	1514
5155	No HA	No HA	No HA	No HA	No HA	No HA	No HA	1523
5170	No HA	No HA	No HA	No HA	No HA	No HA	No HA	1532
5185	No HA	No HA	No HA	No HA	No HA	No HA	No HA	1541
5200	No HA	No HA	No HA	No HA	No HA	No HA	No HA	1550
5215	No HA	No HA	No HA	No HA	No HA	No HA	No HA	1559
5230	No HA	No HA	No HA	No HA	No HA	No HA	No HA	1568
5245	No HA	No HA	No HA	No HA	No HA	No HA	No HA	1577
5260	No HA	No HA	No HA	No HA	No HA	No HA	No HA	1586
5275	No HA	No HA	No HA	No HA	No HA	No HA	No HA	1595
5290	No HA	No HA	No HA	No HA	No HA	No HA	No HA	1604
5305	No HA	No HA	No HA	No HA	No HA	No HA	No HA	1613
5320	No HA	No HA	No HA	No HA	No HA	No HA	No HA	1622
5335	No HA	No HA	No HA	No HA	No HA	No HA	No HA	1631

Reference date for all information is **July 1st 2013**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

Appendix 2. Reasonable rent for judging individual and family social assistance in Helsinki, internal municipal non-binding guidelines, 1997-2013 for standard rentals

Persons in household	Rent , EUR* / month																
	1997	1998	1999	2000	2001	2002	2003	2004	2005	2006	2007	2008	2009	2010	2011	2012	2013
1	381	381	381	437	490	490	520	520	520	520	520	560	560	600	620	650	650
2	553	553	553	589	600	600	600	600	600	600	600	665	665	700	740	770	770
3	673	673	673	706	710	710	710	710	710	710	710	800	800	810	850	895	895
4	757	757	757	774	820	820	820	820	820	820	820	910	910	920	1010	1035	1035
5	883	883	883	900	900	900	900	900	900	900	900	1100	1100	1100	1200	1225	1225
6	967	967	967	984	990	990	990	990	990	990	990	1200	1200	1200	1320	1345	1345
7	1051	1051	1051	1068	1100	1100	1100	1100	1100	1100	1100	1300	1300	1300	1430	1460	1460
8	1135	1135	1135	1152	1200	1200	1200	1200	1200	1200	1200	1400	1400	1400	1540	1570	1570

In addition to these amounts reasonable utility charges (e.g. water), household electricity and home insurance will be covered separately

Before 2002, 1 Euro=5.94573 FIM